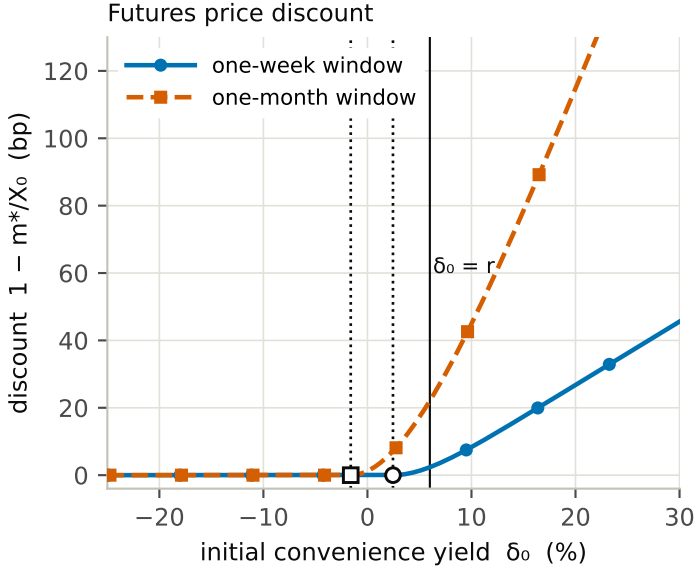
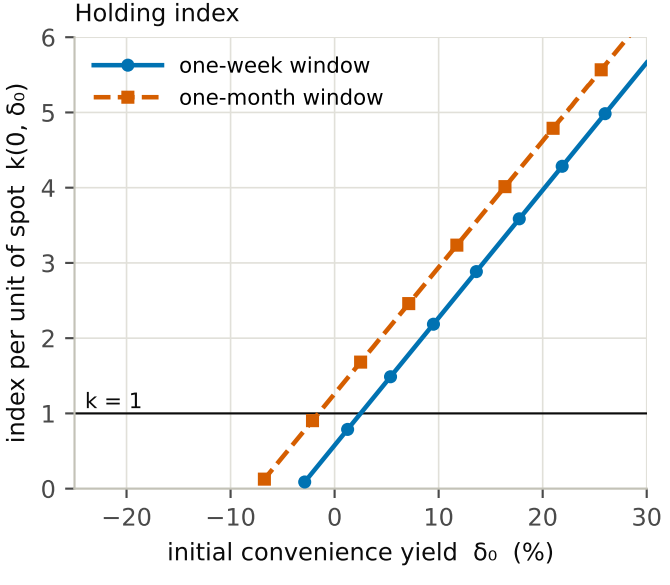

Futures price discount
one-week window
one-month window
δ₀ = r
discount 1 − m*/X₀ (bp)
120
100
80
60
40
20
0
−20
−10
0
10
20
30
initial convenience yield δ₀ (%)


Holding index
one-week window
one-month window
k = 1
index per unit of spot k(0, δ₀)
6
5
4
3
2
1
0
−20
−10
0
10
20
30
initial convenience yield δ₀ (%)